Computing trading income

Content

3. Income from self-employment

a) Recognise the basis of assessment for self-employment income under both cash and accruals bases.

b) Describe and apply the badges of trade.

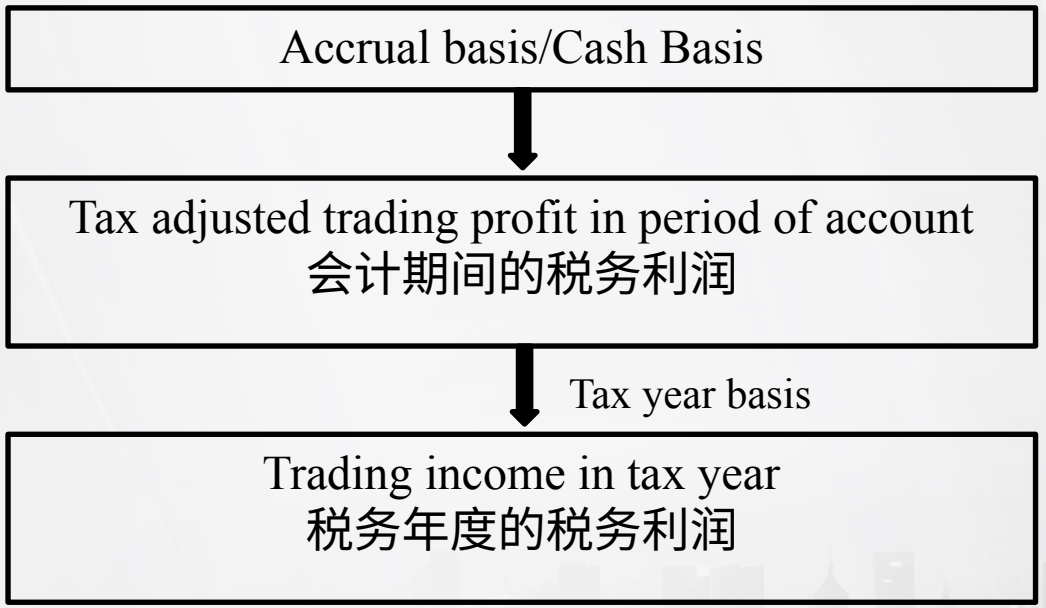
c) Recognise the expenditure that is allowable in calculating the tax-adjusted trading profit.

d) Recognise the relief which can be obtained for pre-trading expenditure.

1. Badges of trade

- Subject matter – for personal enjoyment or not
- Length of ownership – shorter periods may indicate trade
- Frequency of transactions – more often may indicate trade
- Supplementary work – more supplementary work may indicate trade
- Reason for sale – circumstances of sale can indicate trade
- Motive – evidence of profit motive may indicate trade
- Method of financing – short-term financing indicating trading

2. Trading profit



Sole traders and partnerships (companies are excluded) can use:

- Accruals basis (optional method)
- Cash basis (default method)

to calculate their trading profit in period of account.

2. Trading profit

2.1 Tax year basis

From the tax year 2025-26 onwards, sole traders and partners are assessed on a tax year basis; that is, the profits arising in the tax year from 6 April to 5 April (or 1 April to 31 March).

Where an unincorporated business prepares accounts to a date which is not 5 April (or 31 March), then trading profits will have to be time apportioned.

For a commencement during the tax year 2025-26, the assessment will run from the date of commencement to 5 April 2026.

For a cessation during the tax year 2025-26, the assessment will run from 6 April 2025 to the date of cessation.

Lecture example 1

Willam makes up his account to 31 January each year. In the year end 31 January 2026, his tax adjusted trading profit are £18,000. In the year end 31 January 2027, his tax adjusted trading profit are £24,000. He has transition profits of £5,000 to be taxed in the tax year 2025-26.

Calculate the amount of Willam's taxable income for the tax year 2025-26.

3. Accruals basis

Adjustment of profits	**£**
Profit/Loss before taxation per account	X/(X)
Add back: Disallowable expenditure for tax	X
Less: Non-trading income	(X)
Exempt income	(X)
Capital allowances	(X)
Tax adjusted trading profit / loss	X/(X)

3. Accruals basis

3.1 Expenses

I. General rules

- **Allowable expenditure:**

Expenditure incurred wholly and exclusively for the purposes of the trade, not specifically disallowed by legislation.

- **Disallowable expenditure:**

Expenditure is non-deductible if it is too remote from the purpose of trading, or has more than one purpose and one of them is not trading.

3. Accruals basis

II. Specific rules

- **Depreciation & Amortisation**

  Disallowable expenditure

- **Capital expenditure & Revenue expenditure**

  Allowable expenditure: Revenue expenditure

  E.g. maintenance and repair, decoration, redecoration
  cost of hiring, leasing or renting general plant and equipment

  Disallowable expenditure: Capital expenditure

  E.g. cost of acquiring capital assets, initial installation, improvement and enhancement, expansion

3. Accruals basis

- **Entertaining and gifts**

Allowable expenditure :

- Expenditure on entertaining staff
- Gift to employee
- Gifts to customers where ***ALL*** of the 3 conditions are met:
  Cost less than £50 each customer.
  Not food, drink, tobacco or vouchers exchanged for goods.
  Prominent or conspicuous advertisement for the business is on the gift

Disallowable expenditure :

- Expenditure on entertaining customer or supplier

3. Accruals basis

- **Subscriptions and Donations**

Allowable expenditure :

- Small donations to local charities (advertising)
- To professional association, educational, religious, cultural or benevolent organisation

Disallowable expenditure :

- Donations to national charities (E.g. Gift Aid Scheme)
- Political donations

3. Accruals basis

- **Legal and professional fees**

Allowable expenditure:

- Legal fee related to the trade

  E.g. accountancy and audit fee, cost of registration of a patent or copyright for trade use， assert rights against others.

- Legal costs relating to the **renewal** of a short lease (50 years or less)
- Incidental costs of raising long-term debt finance
- Legal fees in connection with court actions against suppliers/customers for breach of contract

Disallowable expenditure :

- Legal fees in connection with court actions for not complying with certain law and legislations.
- Legal fees of the **initial granting** of a short lease
- Legal fees arising as a result of issuing new share capital

3. Accruals basis

- **Lease charges for cars**

  Leasing cost for car which is used for trading purpose

  Allowable expenditure :

  CO_2 emissions $\leq$ 50g/km, 100% of leasing cost

  CO_2 emissions $>$ 50g/km, 85% of leasing cost (15% of leasing cost disallowable)

- **Fines and Penalties**

  Allowable expenditure :

  Fines and penalties incurred by employee at work

  E.g. parking fine incurred by employee

  Disallowable expenditure :

  Fines and penalties incurred by employer

  E.g. parking fine incurred by employer, penalties and interest on late paid tax

3. Accruals basis

- **Bad debts(impairment loss)**

Allowable expenditure:

Trade bad debts

Disallowable expenditure:

Non-trade bad debts

E.g. bad debts related to employee

- **Interest**

Allowable expenditure:

Interest payable on loan which is used for trading purpose (accrual basis)

Disallowable expenditure:

Interest on late payment of tax

3. Accruals basis

- **Remuneration and benefit**

Allowable expenditure: Employee related

E.g. salary, bonuses, redundancy, cost of educational courses

OPS, class 1 & 1A NIC, privately use of asset by employee

Rent, Repair, Motoring expenses, Heating, Lighting, Telephone expenses of employee (business or private use)

Exception: Remuneration/Benefit not paid to employee within 9 months is not allowable.

Disallowable expenditure: Employer related

E.g. Salary and interest paid to a sole trader (proprietor) is not deductible

Privately use of asset by employer

Exceed part (commercial rate) of salary paid to the family member

3. Accruals basis

- **Others allowable expenditure：**
  - Pre-trading expenditure are deductible if two conditions are met:

    incurred within 7 years of the start of trade and it is an originally allowable expenditure.
  - Premium paid for short term leases are deductible. (Chapter 5)

3. Accruals basis

- **Disallowable expenditure :**
  - Drawings
  - NIC Class 4 contribution paid for proprietor
  - The private portion of the motoring expenses, rent, heat and light and telephone expenses of a proprietor
  - When a proprietor takes goods for his own use, normal selling price (market value) of the goods is added back
  - Sole trader’s asset transferring to business: It is treated as a purchase at MV on date of transfer (maybe qualify for capital allowance)

3. Accruals basis

3.2 Income

- **Capital receipts**

E.g. profits on the disposal of fixed assets and investment income

- **Income taxed in another way**

E.g. rental income, interest

- **Income specifically exempt from tax**

Lecture example 2

Sam is a sole trader for many year.

His summarized statement of profit or loss for the year ended 31 December 2026 is as follows:

	£
Gross profit	30,000
Less: depreciation	(2,000)
Entertaining (note 1)	(3,000)
Wages and salaries (note 2)	(15,000)
Car expenses (note 3)	(4,000)
Legal fees relating to registration of a patent	(1,000)
Bank interest expense (note 4)	(800)
Bank deposit interest received	500
Profit on sale of assets	700
Net profit	5,400

Lecture example 2

Notes

(1) Entertaining was as follows:

	£
Customer entertaining	2,500
Staff entertaining	500

(2) Wages and salaries are as follows:

Sam	10,000
Sam’s wife	5,000

Sam’s wife worked part time in her husband's business.

Lecture example 2

(3) Car expenses

Sam leased a car for use in his business. The leasing costs were £4,000. The car had CO_2 emissions of 58 g/km.

(4) Bank interest expenses

Bank interest expenses incurred on the loan to buy office.

Calculate Sam's adjusted trading profit for the year ended 31 December 2026.

Your computation should commence with net profit and should list all of the items referred to in the statement of profit or loss indicating by the use of a zero any items that do not require adjustment.

4. Cash basis

4.1 Calculation

	£
Trading receipts (including the sale of equipment)	X
Less: **Allowable** expenses payments (including the purchase of equipment)	(X)
Less: Capital allowance on cars only (if mileage allowances not claimed)	(X)
Tax adjusted trading profit/loss	X/(X)

There is no distinction between capital and revenue expenditure.

4. Cash basis

4.2 General rule

- **Trading receipts**

Cash received is included.

Cash received from selling plant and machinery is included.

Amounts received from sale of car are ignored.

Receivables are ignored.

- **Allowable expenses payments**

Business expenses which are paid can be deducted.

Cash paid to purchase of plant and machinery is deductible.

Purchase of cars, land and buildings, and legal fees on those purchases are non-deductible.

Payables are ignored.

Capital allowance on cars only (if mileage allowances not claimed)

4. Cash basis

4.3 Special rule - Flat rate expense

- **Motor expense**

The actual running costs and capital allowance of a car can be replaced by use the approved mileage allowance.

up to 10,000 miles	45 p/mile
over 10,000 miles	25 p/mile

Lecture example 3

Winifred commenced self-employment as a surveyor on 6 April 2025. The following information is available for the year ended 5 April 2026:

1)Revenue was £62,600, of which £3,800 was owed as receivables at 5 April 2026.

2)On 10 May 2025 a car with CO2 emissions of 60 grams per kilometer was purchased for £15,600. The car is used by Winifred, and 60% of the mileage is for private journeys. (Capital allowance for the car for the year ended 5 April 2026 is £374)

3)All motor expenses were £3,700. During the year ended 5 April 2026 Winifred drove 12,000 miles.

4)Other expenses (all allowable) were £13,300, of which £700 was owed as payables at 5 April 2026.

Calculate Winifred's trading profit for the year ended 5 April 2026 if she uses the cash basis.

1) If Winifred opts not to use flat rate

2) If Winifred opts to use flat rate.

4. Cash basis

- **Business premise expenses**

If a business premise is used partly for private purposes. i.e. used as a home, typically where the business is a small hotel or guest house.

The private use adjustment for food, light and heat can be calculated on a flat rate basis according to the number of occupants.

Number of relevant occupants	Non-business use amount per month
1	£350
2	£500
3 or more	£650

4. Cash basis

Lecture illustration

A and B is a married couple. They run a guest house and could use cash basis to calculate trading income. They also lived in the guest house, too. For the year ended 5 April 2025 the revenue received is £82,000. The total cost paid on food, light and heat related to guest house was £37,000.

Taxable trading income using flat rate:

£82,000 − (£37,000 − £500×12) = £51,000

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Practice(do by yourself first)

Bayle is self-employed as a lawyer. She is also a director of Acquit & Appeal Ltd. The following information is available:

Self-employment

(1) Bayle's statement of profit or loss for the year ended 30 September 2026 is as follows:

	Note	£	£
Revenue	2		318,987
Expenses			
Gifts and donations	3	8,680	
Lease of motor car	4	4,345	
Professional fees	5	3,240	
Property expenses	6	46,240	
Travel expenses	7	16,770	
Other expenses	8	66,410	
			(145,685)
Net profit			173,302

(2) Revenue includes £2,800 received during May 2026 in respect of an impairment loss that Bayle had written off when calculating her trading profit for the year ended 30 September 2026.
(3) Gifts and donations are as follows:

	£
Gifts to customers (clocks costing £110 each and displaying Bayle's name)	3,300
Gifts to customers (bottles of champagne costing £40 each and displaying Bayle's name)	2,480
Donations to political parties	2,900
	8,680

(4) The lease commenced on 1 May 2026, and is in respect of a motor car with CO2 emissions of 74 grams per kilometre. There is no private use of the motor car.
(5) The figure of £3,240 for professional fees is in respect of accountancy services, of which £600 is for inheritance tax planning advice.
(6) Bayle lives in an apartment that is situated above her office, and two-fifths of the total property expenses of £46,240 relate to this apartment.
(7) The figure of £16,770 for travel expenses includes £520 for parking fines incurred by Bayle.
(8) The figure for other expenses of £66,410 includes £670 for Bayle's professional subscription to the Law Society, and £960 for her golf club membership fee.

Calculate Bayle's tax adjusted trading profit for the year ended 30 September 2026.
Note. Your computation should commence with the net profit figure of £173,302, and you should also list all of the items referred to in notes (2) to (8) indicating by the use of zero (0) any items that do not require adjustment.

Net profit	173,302
Add:	
Gifts to customers	
– Clocks	3,300
– Bottles of champagne	2,480
Donations to political parties	2,900
Lease of motor car £4,345 × 15%	652
Personal tax advice	600
Property expenses £46,240 × 2/5	18,496
Parking fines	520
Professional subscriptions	0
Golf club membership fee	960
Deduct:Impairment loss	0
Adjusted profit	203,210

Quizzes(self-practice)

Quiz 1

Stephanie started trading on 1 January 2025. She prepared accounts with tax adjusted profits as follows:

15 months from 1 January 2025 to 31 March 2026	£75,000
1 April 2026 to 31 March 2027	£65,000

What amount of trading income will be assessable on Stephanie in the tax year 2025-26?

1.A.£15,000

2.B.£60,000

3.C.£65,000

4.D.£75,000

Quiz 1-A

The correct answer is **B**.

2025-26 1 April 2025 to 31 March 2026 (12/15 × £75,000)	£60,000

Quiz 2

Which of the following are examples of disallowable expenditure?

(1) Repairs with no element of improvement

(2) Repairs of a newly acquired second hand asset where the purchase price is reduced to account for repairs required before it is fit to earn profit

(3) Legal costs on purchase of property

(4) Legal cost on renewing short term lease

A.1 and 2

B.3 and 4

C.1 and 4

D.2 and 3

Quiz 2-A

The correct answer is **D**.
Where the price of a second hand asset has been reduced to allow for the necessary repairs to bring the asset into use, then the repairs are not allowable expenditure. Legal costs on non-current assets are generally disallowed, except in the case of the renewal of a short term lease (under 50 years).

Quiz 3

Edwardo started trading on 6 April 2025, preparing his first accounts to 5 April 2026. The following information is available for the period ending 5 April 2026:

Turnover, including receivables (debtors) of £15,000	105,000
Advertising, including £500 which is still unpaid	10,500
Motor expenses – 3,000 business miles	2,000

Quiz 3

What is Edwardo’s trading profit for the tax year 2025-26 using the cash basis?

1.A.£88,650

2.B.£93,650

3.C.£78,650

4.D.£78,000

Quiz 3-A

The correct answer is **C**.

Revenue received (£105,000 – 15,000)	90,000
Adverting paid (£10,500 – 500)	(10,000)
Mileage (3,000 × £0.45)	(1,350)
Trading profit	78,650



谢谢观看

THANK FOR WATCHING